

Piyush Goyal
Minister of Commerce

BOLD & BRAVE

$770 BILLION

Exports in 2022-23, a rise of **14%** over FY22

- West's protests on India being a 'back door' for Russian oil peter out. Domestic oil refining companies on a high
- FTAs signed with Australia and UAE

BUT

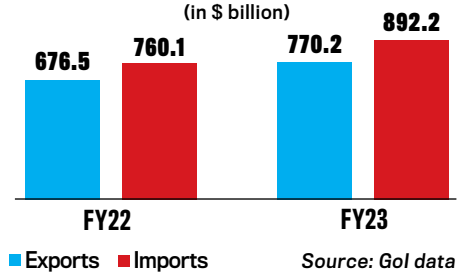
FDI equity inflows down **22%**

FY22 **$58.8 bn**

FY23 **$46 bn**

INDIA'S OVERALL TRADE PERFORMANCE

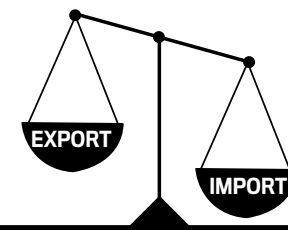
(in $ billion)



Source: GoI data

$122 BILLION

Trade deficit in 2022-23



> "WE CAN ACHIEVE $2 TRILLION IN EXPORTS BY 2030, BUT WE MUST ENSURE THAT MERCHANDISE EXPORTS DON'T FALL BEHIND SERVICES EXPORTS"
>
> **PIYUSH GOYAL**
> Commerce minister while launching FTP, 2023, on Mar. 31

Canada and Israel.

But it will be tough to maintain the momentum in exports. For one, there was pent-up demand for goods and services in 2022, which had helped drive exports up. Now they are already feeling the pressure, with India's merchandise exports dipping by 12.7 per cent year-on-year to $34.7 billion (Rs 2.9 lakh crore) in April this year as compared to $39.7 billion (Rs 3.3 lakh crore) in April 2022. In January this year, the International Monetary Fund said that global growth will slow down from 3.4 per cent in 2022 to 2.9 per cent in 2023 and then rebound to 3.1 per cent in 2024. The impact of continued monetary policy tightening on major economies will also be visible going forward. Expect it to exert additional pressure on exports.

India may feel the heat to some extent as labour-intensive sectors like textiles, footwear and leather depend on exports to the US and Europe, making them particularly vulnerable, as a Crisil report points out. Also, the competitive advantage India enjoys from the rupee's weakening may not hold, as most currencies have been weakening against the dollar anyway. Experts are of the view that, among other steps, the government must focus on enhancing exports in sectors such as machinery, technology and electrical and electronic products that make up 35 per cent of global trade, but where India has a barely one per cent share.

In the immediate future, what's required is lowering logistics costs, as well as increasing liquidity in exports as buyers delay payments amid inventory build-up. Also, India is already doing well in agricultural exports, and the government should retain its sharp focus on the sector, say experts. It needs to work on expanding export prowess to reach the ambitious 2030 target set for itself. ■